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<<Glen Santangelo, Analyst, Jefferies>>

Thank you for taking the time to join us this afternoon. We're very excited to have Zoetis for our next presentation. For those of you who don't know me, I'm Glen Santangelo. I'm the analyst at Jefferies that covers the stock. I cover a number of things in addition to animal health, spec pharma and HCIT. So if you have any questions, by all means, please feel free to follow up after the presentation.

Joining us is Wetteny Joseph, to my right, he is the Chief Financial Officer of the company. Pretty standard now, we've got about 25 minutes of Q&A. So we're going to – we're sort of going to dive right into it. And since we got the CFO with us, we might as well start with the financial question, Wetteny. Coming off 3Q, a pretty strong quarter, 14% revenue growth this last quarter. Maybe you could just sort of give us a brief overview, quick drivers at a high level and then we can sort of jump right into it.

<<Wetteny Joseph, Chief Financial Officer>>

Sure, Glen. Thanks for having us. It's great to be here with you on this warm day in London. Look, we delivered an excellent quarter, third double-digit growth quarter in a row, and for the third time, we're positioned to raise our guidance. So the third quarter was 14% operational growth in revenue, 15% of adjusted net income, and it was broad-based. You saw it from our durable franchise areas, including OA pain, which led the way, key dermatology, 11 years later, delivering 16% operational growth in revenue. And of course, Simparica franchise with Trio leading the way to a 30% growth. And then let's not forget, we also had 11% growth in livestock on the quarter. So to say it was broad-based would be a bit of an understatement, and I think exemplary of what the year has looked like for us so far in being able to raise guidance each time.

<<Glen Santangelo, Analyst, Jefferies>>

Okay. All right. Well, why don't we start on the companion animal side because I think that's what garners most of the attention. But I won't ignore livestock because it's still double-digits, right. But if we talk about that companion business, growing sort of 15%, how do you break that down between sort of price and volume? Because one of the questions that we get all the time is, is the company taking higher price increases this year relative to what they've done historically? And people question the sustainability of that trend. So maybe just break that down, and then we'll go into the different subcategories.

<<Wetteny Joseph, Chief Financial Officer>>

Sure. The overall growth of 14% was 8% volume, right, and 6% price. And that's despite having just under 2 percentage point contribution from Argentina, which is hyperinflationary. So if we parse that out, year-to-date, we're at 12% operational growth at the top line. And if you take out again hyperinflationary, you're at 10%, and it's perfectly balanced, 5% and 5% between the two. So if I was to double click on a couple of our key franchises, I talked about key derm, for example, more than two-thirds of our growth of volume. And so with 16%, about 10% of that being volume, 6% being price. And Trio was a little bit more than half volume. We continue to see better price realization in addition to net price increase here. But across the board, looking at the main franchises and if you got OA pain, it's all volume, right. There's no – particularly in the U.S., where there's not a baseline, it's all volume growth.

So I think if you look at companion animal, I would venture to say you're looking at in the ballpark of two-thirds volume versus price. So we continue to see an opportunity to take price in markets. And as I said during the third quarter call, I would expect us to come in somewhere perhaps slightly north of our historical, which we've done consistently year after year, 2 to 3 points, and the 5 that we're at this year, if you exclude Argentina.

<<Glen Santangelo, Analyst, Jefferies>>

All right. So maybe why don't we start to break down these companion categories, and we'll start with derm, since you were just sort of talking about it. Derm was up 16% in the quarter. Now I think – if I remember back to the second quarter, I think the company spent a lot of time specifically talking about the dermatology franchise and the different opportunities that the company felt like it could continue to grow that franchise, which is, rough numbers, closing around 20% of the company's total revenue.

So maybe let's start with Apoquel, which the growth is just continues to get significantly better every quarter since compared to 2023. What would you attribute that strength to? Like what's the company doing different this year that's driving that accelerated growth and leading you to believe that there is still a lot more on the table to achieve?

<<Wetteny Joseph, Chief Financial Officer>>

Yeah. We're very excited about the opportunity to continue to grow this market that we have effectively established, right. And we've been growing this market for 11 years to be still delivering double-digit growth 11 years after we launched Apoquel initially. And we now have Cytoint, which has been around now for about eight years and Apoquel Chew has been around for a couple of years outside the U.S. in about a year or so – about exactly a year in the U.S.

And so when we look across the globe, we think there are about 20 million dogs that are either under treated or not treated at all that suffer from atopic dermatitis itch. So we think there is a vast opportunity out there to go after. And we have been going after it. And you continue to see that play out. In the U.S., for example, if you look at visits to the clinic in the quarter, periodic visits, so derm visits were up over 4% on the quarter. This is, again, continuing to drive that awareness, continuing to do DTC campaigns to drive awareness and bring more pets to the clinic that suffer from atopic dermatitis. And you see that play out.

Outside the U.S., you've been seeing really significant growth as well. You see a preference for injectables, so Cytopoint being – outpacing the growth generally in the clinic. But then these alternative channels, retail, online home delivery are also driving more compliance for us. So we're seeing volume growth going through those channels because the product goes on autoship. And then very importantly, the convenience and also a driver of compliance is chewable, which has been increasing as a percentage of our overall derm volumes.

In Europe, we're now north of 50% chewable. This is an important element for us, particularly when we think about the competitive point, but also again preference from pet owners. And in the U.S., we crossed 30% roughly at the end of Q3, going up from about 23% in Q2. So we're seeing a nice increase in terms of the conversion to chewable, and they're all contributing to growth.

<<Glen Santangelo, Analyst, Jefferies>>

I mean, it's just crazy. I mean, we were doing some channel checks with some veterinarians over the past month. And they're talking about how many dogs they see a day, and it feels like a third to 40% of them have some form of atopic dermatitis that could benefit. And you're pretty much in this category largely alone. And so is it really just an education? Or is it – how do you – I mean, I feel like these products have been around for a while, but it feels like they're gaining momentum, which feels – I don't want to say a little later in the cycle relative to what maybe one would have thought given how common or how many dogs are untreated at this point. But it seems like it's still whatever education or marketing efforts company is making seem to be working better than expected.

<<Wetteny Joseph, Chief Financial Officer>>

I think there's a combination here. What you just said, which is education, which we have been at it, we'll continue to be at it, we will continue to do that. And by the way, we've been expecting competition in this category and we will – that will actually help drive more of that education, which is a unique feature in animal health, where you can have competitors actually help expand the market, which is happening here, too.

But the other thing, I think, is if you step all the way back, there are two other things. If you look at the human-animal bond over the last 11 years, that has been ever increasing in terms of how people see their pets and wanted to do something about it. And generationally, pet owners are more affluent and younger, and they're seeing their pets as a member of the family. So they're willing to do more about those chronic conditions that they have. And I think you're seeing that provide a tailwind as well.

The one other thing we're watching, we'll keep looking at that on this is if you go back, during the pandemic, there was an increase in pet ownership. And initially, it drives a lot of visits to the clinic because they have to go see and get their shots. And then you see a little bit of a lull. But now they are three or four years old and you're going to start to see some of these conditions play out as well. And I think that may be another item that we'll keep an eye on and see how it plays

out. But all of these are pointing towards sustainable, durable growth. And building these markets, we know take time, but they drive – they really have a long, long tail in terms of growth.

<<Glen Santangelo, Analyst, Jefferies>>

All right. Last question on derm and then we'll move on. I think when we started the year, you were expecting sort of mid to high single-digit sort of revenue growth. The company has clearly done better than that. But I'm kind of curious, at the beginning of the year when you gave that guidance, was there may be some level of expectation that there might have been some incremental competition in the year maybe that didn't play out as you thought? Maybe your sort of detailing efforts and marketing efforts were better than expected? Or was it the lack of competition or sort of better execution on Zoetis' front? What do you think drove that big delta relative to what you thought in the beginning of the year?

<<Wetteny Joseph, Chief Financial Officer>>

I hate to give a classic all of the above, but I think there are elements in each.

<<Glen Santangelo, Analyst, Jefferies>>

Okay. All right, that's fine.

<<Wetteny Joseph, Chief Financial Officer>>

But let me just pare on one thing. I think if you look at our outlook when we think about competition, our confidence in terms of the long-term growth opportunity here is very high and remains very high. When we talk about 20 million globally, 11 million in the U.S. that are undertreated or not treated at all, we're going after that. And so that will continue to drive growth for us.

I think the one element though is timing of competition and knowing exactly what the label is. You would expect some short-term, perhaps more aggressive promotional activities to try and get the product in the hands of vets. That can happen. And you try to triangulate around that and give yourself some room in terms of what you might expect for the short-term. It doesn't change the long-term prospects and how confident we are.

<<Glen Santangelo, Analyst, Jefferies>>

Okay, right. You used the word sustainable and durable. Like you feel like the trends that are in place kind of extends? We won't talk about 2025 in particular. All right, let's move over to parasiticides. I mean, obviously the focus is on Trio as it grow 30% this quarter year-over-year, which accelerated again from 2Q Kenya. And I think you said more than half of that was from volume. And so I guess, sort of a similar question, recognizing this product's in an earlier stage of its life cycle, what drove that growth relative to what you would think would be the market

growth would be significantly slower than that, which would imply that there are some big share gains that the company is enjoying at this point?

<<Wetteny Joseph, Chief Financial Officer>>

Similar to Durham, we're really excited about the opportunity here and we try to showcase a bit more of that in the third quarter call with some of the slides. If you look at the number of dogs that are on triple combination therapies for parasiticides in the U.S. it's about 9 million that's out of 60 million that are on parasiticides. And that includes collars, OTC, as well as orals.

In orals, you're looking at about 30 million or so, so only about a third on sugar combinations. Sugar combinations are growing faster. And the puppies, 50% of them are going on triples, so overall percentage of dogs is less than 50%, but puppies is above 50%. So that tells you this is where the market is going. And I think we're going to continue to see this sort of share shift from collars and OTC as well as flea-tick combos to triple combinations. And being four years into this new standard of care, there's a lot more room to continue that.

<<Glen Santangelo, Analyst, Jefferies>>

Well, that was my next question, sort of – I mean, are you seeing more new dogs or dogs that were previously treated with some other type of collar or prescription in some way, shape or form? So you're saying, clearly when you look at puppies, that's where 50% of them are going to the triple combination right out of the block. So it's a combination of taking market share away from the other products, but also signing up new dogs at a – or younger dogs at a much greater rate than what you've done historically.

<<Wetteny Joseph, Chief Financial Officer>>

Exactly. I think there was a point last year might have been second, third quarter where we shared this statistic that 30% of the dogs or puppies coming onto Trio were new to prescription parasiticides, right? So we haven't updated that number, but it just gives you a directional trend that we are gaining from both those that were not on prescription as well as those that have been on two combos, flea-tick.

<<Glen Santangelo, Analyst, Jefferies>>

But within parasiticides, I mean, similar question to dermatology, I think you started the year at mid to high single digit growth and here we are doing something significantly faster than that. And so I guess, obviously Trio's a big part of that, but is there anything else, maybe again in the beginning of the year you might have been some expecting some competition that maybe didn't play out the way or didn't come as soon as you all maybe thought. And you have this other big delta in this category as well. Is there anything else to layer into what might have created this delta relative to your initial expectations in obviously a very positive way?

<<Wetteny Joseph, Chief Financial Officer>>

Sure. And I won't repeat the same answer I gave you for Durham, but there's a little bit of a trend here. I think the one element that might be a little bit unique here is the price realization that we've been able to get here as well. Coming into the year, we needed to test that out and it's not increasing sort of the overall headline price, but it's giving less discounts through our channels into the vet.

And that has translated to higher growth and higher price component of that growth for Trio this year than perhaps we would have fully baked into the expectations. But overall, again, long-term, we continue to expect this to be a durable area of growth. And in short-term there could be some competitive dynamics we play out and we'll layer that into our expectations, maybe in a slightly conservative way, but just until we know exactly where the moves are going.

<<Glen Santangelo, Analyst, Jefferies>>

Okay. Why don't we shift over to the pain market because this continues to get a disproportionate amount of the questions, which I'm sure you guys find somewhat frustrating given how little it contributes at this point relative to the whole portfolio. But obviously a lot of focus on the U.S. Librela business in 3Q that number was maybe a little bit smaller sequentially from 2Q to 3Q by a couple few million, whatever anybody thought and drove this adverse reaction, which is I'm sure is frustrating for you just given how well the product did year-over-year and continues to grow.

And so it's kind of an open ended question on, on how you would sort of describe what the company did in 3Q, the outlook for the full year in the U.S. for Librela? And is the Street in your mind maybe reading too much into the third quarter? I'll open it up to you.

<<Wetteny Joseph, Chief Financial Officer>>

We'll continue to share our perspective here in terms of our expectations on how this franchise will grow to be \$1 billion for us, which we remain very confident in. I think if you look at what we're seeing in the U.S., it's very similar to what we saw in our international markets. And I'll remind everyone exactly a year ago, third quarter results. The question on the table is why didn't we see sequential growth in Europe from Q2 to Q3? Exact same question.

So I do think what we're seeing play out again is very consistent. The key metrics we track for success of a launch are all pointing to very positive at or better than expectations, right? From the very beginning, penetration in the first partial quarter, right, October to December was over 60%. It was about 65% faster than any product we ever launched by far, including Apoquel, Cytosol, Trio moved into the clinics really rapidly, which drove disproportionate amount of initial stocking because you're stocking a lot more clinics all upfront.

So out of the 44, we said at least a third of that was stocking, so that those metrics and reorder rates are all very much in line with or better than expectations. Now it's a matter of converting more into out of the more severe cases, which will always be part of the picture, but getting into more moderate cases. And what have we seen outside the U.S. So in Europe, two years ago we were saying months on therapy were about four to five months.

Now we're saying it's seven to eight months on therapy. As you've gone to about two-thirds sort of moderate cases, that has increased the total patient population but also increased the duration at the same time. So when you're closer to the – relatively speaking, when you're closer to the most severe cases, there's a lot more churned. So they're closer to end of life, right, 14-year-old dogs, et cetera. There's more churn in the population.

As you get into the moderate cases, there's less churn and they're on for a lot longer. And that drives the growth. We've never really looked at sequential quarter as the key metric here, and we're not doing that now. We believe that year-over-year, given that we are sitting at about 1 million dogs, we're treating in the U.S. for Librela, NSAIDs are treating about 8 million. The total population we believe suffer from OA pain is about 27 million. So you have 9 million being treated. We're treating one out of the nine. Substantial, long, long room to continue to grow this franchise. And four years later we're seeing high double digit growth in Europe and across international. So we're very confident in the trajectory here.

<<Glen Santangelo, Analyst, Jefferies>>

You want to dare, give us any information on 4Q in terms of how things are trending? Is it fair to say that sort of week-over-week the momentum continues to build? Is that a reasonable?

<<Wetteny Joseph, Chief Financial Officer>>

Look, I won't provide an update here, but what I would say is the fourth quarter, as I mentioned earlier, you do have the lapping of the initial stocking in the U.S., which was fairly substantial. So I would ask folks to keep an eye on that. I think what you're going to continue to see is strong year-over-year growth...

<<Glen Santangelo, Analyst, Jefferies>>

I'm sorry, 4Q, we lapped the stocking in the U.S.

<<Wetteny Joseph, Chief Financial Officer>>

We lapped the launch in the U.S.

<<Glen Santangelo, Analyst, Jefferies>>

Okay.

<<Wetteny Joseph, Chief Financial Officer>>

We launched mid-October last year, so that we're lapping that quarter now...

<<Glen Santangelo, Analyst, Jefferies>>

Okay.

<<Wetteny Joseph, Chief Financial Officer>>

...in terms of the stocking impact that you expect from that. Again, as we go into next year, I would continue to expect strong year-over-year growth.

<<Glen Santangelo, Analyst, Jefferies>>

I'm sorry, just to be clear, so in 4Q, the growth should step down because we had the big stocking in 4Q last year. So that's not really representative of the growth, right? So 1Q gets normalized...

<<Wetteny Joseph, Chief Financial Officer>>

Exactly.

<<Glen Santangelo, Analyst, Jefferies>>

...on the year-over-year growth. Okay. Perfect. Sorry. I just want to make sure...

<<Wetteny Joseph, Chief Financial Officer>>

Outside of that, look, I think the expectation as we go into 2025 is that we're going to continue to see really strong year-over-year growth, which we're seeing across our European and international markets even four years later.

<<Glen Santangelo, Analyst, Jefferies>>

Yeah. Can I ask about the safety profile? We get that question all the time. Certainly, we got a lot in the spring. It feels like that concern has sort of died down, but it comes up from time to time. And so I feel like since we have 30 seconds, we might as well just touch on that topic. And any conversations the company is having with the FDA that the management team would deem to be out of the ordinary or anything unusual or typical relative to a – relatively new launch?

<<Wetteny Joseph, Chief Financial Officer>>

A short answer is no. But we have a few seconds, I'll give you a little bit more of an answer here. The dialogue we've been having with the agency are very much routine and standard for products that are out within the first couple of years. It's very commonplace that labels get updated based on what we're seeing in the field. We have had label changes, by the way, in Europe. We've had them in Switzerland, UK and Canada. All those labels have changed since we launched the product in those markets, and we've continued to see really strong growth in those markets. And our expectations remain that any label change that we may see in the U.S. would be along the lines of what we've had in other markets outside the U.S.

<<Glen Santangelo, Analyst, Jefferies>>

Okay. So I mean, the short answer is nothing out of the ordinary, nothing different in the U.S. in terms of launch-wise relative to what you saw in Europe. And so kind of business as usual. Is that...

<<Wetteny Joseph, Chief Financial Officer>>

That's right.

<<Glen Santangelo, Analyst, Jefferies>>

All right. Maybe at a high level, livestock, you said in the beginning of your prepared remarks grew 11% this quarter, which is obviously much faster than sort of market growth. And so maybe if you could just unpack that for a few minutes since people don't tend to spend enough time – they don't spend much time there at all. And so maybe you can just sort of give people a quick refresher on sort of what's enabling the company to drive double-digit growth in that area of your business as well, which is not insignificant, right?

<<Wetteny Joseph, Chief Financial Officer>>

Now, look, it's about a third of our business. This is before the MFA divestiture, which we just closed recently. So I would adjust those numbers accordingly. But if you look at double-digit growth in the quarter, livestock growth, somewhere between 2% and 4% globally. And as we came into this year, particularly with the contribution from some of the hyperinflationary markets, we're seeing a little bit more price uptake in that number. And so we said we would expect to be north of the typical 2% to 4% range, and we think the industry would actually be slightly above that.

And clearly, Q3 was a big growth quarter for us from a livestock perspective of 11%. I'm not signaling that that's the rate of growth you would expect for the whole year. But expecting to be above the 2% to 4% is what we expected coming in. And I think as you look ahead, the medicated feed additive business has been dilutive to our growth for the overall company and certainly for livestock. And so I think that's one thing you would sort of factor into your expectations as you look beyond 2024, is on a reported basis, you're taking out the 10.5 months of revenue that was in 2024, won't be there in 2025 obviously.

<<Glen Santangelo, Analyst, Jefferies>>

Okay.

<<Wetteny Joseph, Chief Financial Officer>>

So we'll provide sort of an organic operational sort of metric for folks to keep track of getting into – exiting Q4 and going into 2025. And then adjusting that out. But net-net, the divestiture is accretive to the overall growth rate as well as the margin profile as well.

<<Glen Santangelo, Analyst, Jefferies>>

All right. Maybe just since we only have three minutes left, just a couple of quick questions on guidance I want to touch on. So the 2024 guidance, I think at this time last year or when the company guided on 4Q, you started 7% to 9%, you walked it up, you walked it up. And then in the third quarter, you walked it up again. And now we're sitting at 10% to 11%, right? So we're up 300, 400 basis points relative to sort of where we started, but that – which is great. But that kind of implies in the fourth quarter, only 7% operational growth, if I'm doing that sort of correctly. And so for a company that's been executing so well through nine months, it seems inconsistent that 4Q growth would be as low as it is. And so I'm just kind of – if you can maybe help reconcile how we should think about the implied growth in 4Q?

<<Wetteny Joseph, Chief Financial Officer>>

Yeah. Look, we couldn't be happier with the performance and the execution this year and the underlying demand we see across our portfolio and our products here. So to get more targeted to your question, the math would translate to about 6% operational in the fourth quarter at the midpoint of the guidance range that we provided. Now that's not a read-through for next year. If you look at what's playing out here, keep in mind the MFA divestiture I just spoke of is coming out of the fourth quarter. So about half of the quarter is out. We've given sort of the overall size of the business and it's roughly linear in terms of seasonality. So that's the easy math for everyone to do.

The other two considerations I would give are, keep in mind, we launched two major products in the U.S. in the fourth quarter last year. We just talked about Librela. We launched that in October. At the same time, same week actually, we launched Apoquel Chewable in the U.S. Both of those would have had stocking considerations...

<<Glen Santangelo, Analyst, Jefferies>>

Benefits, okay.

<<Wetteny Joseph, Chief Financial Officer>>

...in the quarter. And so if you adjust for those and normalize for those, you're going to have a run rate that is at or slightly above what the company has done historically in terms of growth top line operationally, right? And so I think that's how we'd look at the fourth quarter and the velocity we're exiting 2024 going into 2025.

<<Glen Santangelo, Analyst, Jefferies>>

That's super helpful. So when we think about that 11% – and I'm sorry, just sort of to go back on your comments with respect to price, I mean, just less than half of that is coming on the pricing side versus volume. And so when we think about those sort of ability to take price, arguably, you'll see a little bit of incremental competition last year relative to this year. How do you feel in

the last sort of 20, 30 seconds about the company's ability to sort of maintain pricing may be at or slightly above those historical trends?

And then I'll just lay it out there. When I look at the 2025 consensus numbers, growth is only 5% on consensus, which seems, when I think about that algorithm of, I don't know, 2% to 3% is maybe a reasonable starting place on price, and I'll say, 2% to 3% on volume. Maybe that's the kind of math that people are doing. But I don't know if you can make any high-level commentary without giving us guidance. But like – it just seems like there's some reasonably conservative assumptions out there.

<<Wetteny Joseph, Chief Financial Officer>>

I'm certainly looking forward to providing guidance in February. The short I would give you on this is, if you look at the 5%, I would assume that is not adjusting for the MFA divestiture, right? We had 10.5 months of the business that does, call it, \$400 million a year. So you can do relatively easy math on that one is what I would guess. But look, we certainly have multiple sources of growth. These franchises, I think the key words I've used, you quoted me earlier, is durable and sustainable. And I think the growth across these franchises continues to be, and we're positive going out of 2024 going to 2025 across our key franchises. I talked about the bracket for livestock 2% to 4%. I think if you look at MFA, it's a little bit accretive for us as we look at the divestiture. Those are elements I will put in.

Price, look, I think if you look – if you take Argentina out, we're at 5% this year on prices. I'm not expecting 5%, but I'm exciting something at or slightly above the 2% to 3% normally do. So I think those components probably give enough color here until February.

<<Glen Santangelo, Analyst, Jefferies>>

That's perfect. All right. Wetteny, thank you very much. Really appreciate your comments, and thank you all for joining this afternoon, and congrats on 3Q and a strong year-to-date results. Much appreciate it.

<<Wetteny Joseph, Chief Financial Officer>>

Thank you.

<<Glen Santangelo, Analyst, Jefferies>>

All right.